

EQUITY RESEARCH · COMPANY DEEP DIVE

Amazon.com, Inc. (AMZN.US)

HOLD

Composite · Valuation: HOLD
Blended Target: \$241.79
Implied upside: +3.9%

Consumer Cyclical · Internet Retail
Large Cap (>\$200B) · Report Date: June 28, 2026
Latest financials: Q4 FY2025 · Model data as of 2026-06-28

Price (Jun): \$232.69

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$241.79 (+3.9% vs \$232.69); Comps 100% valuation after outlier checks.
- Strong revenue growth; healthy margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

COMPOSITE INVESTMENT SIGNAL

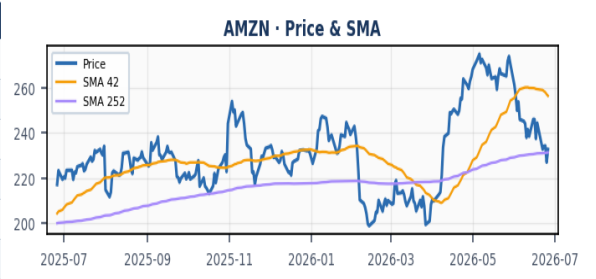
Composite: HOLD (score +0.15, confluence 75%) · TA: BULLISH · Quant: NEUTRAL · FSA: Stable. Solid financial statement profile.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Amazon.com, Inc. (AMZN) — Consumer Cyclical. Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America... **HOLD** rating; blended target \$241.79. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & PRICE TREND

Item	Value	Item	Value
Market Cap	\$2.50T	Shares Out.	10757.1M
52-Week Range	\$196.00 – \$278.56	P/E (TTM)	31.7x
P/B	5.7x	Beta	1.44
Avg Volume	49.90M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$742.78B	Rev Growth	+16.6%
Op. Margin	13.1%	FCF (TTM)	\$7.70B



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	637,959	716,924	835,933	939,338	1,027,721
Revenue Growth (%)	N/A	12.4%	16.6%	12.4%	9.4%
Net Income (\$M)	59,248	77,670	90,563	101,766	111,341
Net Income Growth (%)	N/A	31.1%	16.6%	12.4%	9.4%
Gross Margin (%)	48.9%	50.3%	50.6%	50.6%	50.6%
Net Margin (%)	9.3%	10.8%	10.8%	10.8%	10.8%
ROE (%)	20.7%	18.9%	22.0%	22.5%	23.4%
EPS (\$)	5.51	7.22	8.42	9.46	10.35
Book Value / Share (\$)	26.58	38.21	38.21	42.13	44.24
P/E (x)	42.25	32.23	27.64	24.60	22.48
P/B (x)	8.75	6.09	6.09	5.52	5.26
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

FINANCIAL STATEMENT ANALYSIS

Financial statement profile: Stable (score +0.20). Strengths: Revenue CAGR 11.7% (3Y); Conservative balance sheet; Strong ROE 24.3%. Risks: Operating margin deteriorating; Low FCF vs net income. 3Y projection: ~14.2% revenue growth; Y3 revenue \$1.11T.

Metric	Value	Assessment
FSA Health Score	+0.20	Stable
Revenue CAGR (3Y)	11.7%	
Net Income CAGR (3Y)	N/A	
Gross Margin Trend	Deteriorating	
Operating Margin Trend	Deteriorating	
Current Ratio	1.05x	Liquidity
Debt / Equity	53%	Leverage
ROE	24.3%	Profitability
FCF / Net Income	0.10x	Earnings quality
Proj. Revenue (Y1 / Y3)	\$847.99B / \$1.11T	@14.2%
Proj. Net Income (Y1 / Y3)	\$88.03B / \$114.73B	Margin × (1–tax)

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$256.49	Short-term trend	12m Momentum	+7.2%	
SMA (252d)	\$231.36	Long-term trend	3m Momentum	+16.7%	
RSI (14d)	39.5	Momentum oscillator	Ann. Volatility	35.7%	
Trend	Bullish		Sharpe Ratio	0.06	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-56.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-47.3%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$256.49, SMA252=\$231.36	Quant Score	-0.20	NEUTRAL
			SMA Backtest (ann.)	5.1%	B&H; 19.8%

INDUSTRY CONTEXT

Industry Snapshot — Consumer Cyclical / Internet Retail. Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America and internationally. The company operates through three segments: North America, International, and Amazon Web Services (AWS). It also manufactures and sells...

Trends: Strong top-line growth (16.6% YoY); Healthy operating margins (13.1%); Above-market volatility (β=1.44)

Risks: Standard sector cyclicality and macro exposure

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$38.18	-83.6%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median, trailing EPS)	\$241.79	+3.9%	—	Peer median P/E 32.9x
Comps — P/E (peer median, forward EPS)	\$325.03	+39.7%	—	Forward EPS × peer median P/E
Comps — 52-week range anchor	\$235.75	+1.3%	—	Tri-mean of 52w high, low, and current (large cap)
Comps — EV/EBITDA (peer median)	\$296.00	+27.2%	—	Peer median 19.7x
Comps — P/S (peer median)	\$93.50	-59.8%	—	Peer median P/S 1.4x
Comps — Blended (median of multiples + uplift anchors)	\$241.79	+3.9%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$312.99	+34.5%	0% (excluded)	Analyst bullish vs muted comps (stale consensus)
Blended target (weighted)	\$241.79	+3.9%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	11.94%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$21.40B
PV explicit (5Y)	\$113.40B
PV terminal	\$297.31B
Equity value (adj.)	\$410.72B
Implied price	\$38.18
vs. current	-83.6%

INDUSTRY & COMPETITIVE LANDSCAPE

Industry Overview

Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America and internationally. The company operates through three segments: North America, International, and Amazon Web Services...

Key Trends

- Strong top-line growth (16.6% YoY)
- Healthy operating margins (13.1%)
- Above-market volatility (β=1.44)
- Sector: Consumer Cyclical | Industry: Internet Retail

Risk Factors

- Standard sector cyclicality and macro exposure

PEER COMPARISON

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
WMT	Walmart Inc.	\$920.67B	40.9x	22.1x	3.1%	+7.3%
COST	Costco Wholesale Corpo	\$422.43B	47.8x	30.5x	3.0%	+21.5%
TGT	Target Corporation	\$63.76B	18.5x	9.5x	3.2%	+6.7%
EBAY	eBay Inc.	\$47.89B	24.9x	17.2x	17.6%	+19.5%
AMZN*	Amazon.com, Inc.	\$2.50T	31.7x	16.7x	12.2%	+16.6%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; healthy margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.